# NCERT Summary: Topic 16: Poverty in India — Raw Notes

## Source Integration

- NCERT Class 9 Social Science: Economics, Chapter 3: Poverty as a Challenge

## Core Factual & Conceptual Architecture

### 1. Magnitude & The Multidimensional Reality

- Scale of Deprivation: Roughly every fourth citizen in India lives in poverty, accounting for approximately 270 million (27 crore) individuals per official 2011-12 estimates, representing the largest single geographic concentration of impoverished people globally.
- Philosophical Anchor: Mahatma Gandhi maintained that India would achieve true independence only when its poorest citizens were emancipated from human suffering.
- Multidimensional Manifestations: Extends far beyond simple income shortfalls to include chronic hunger, lack of permanent shelter, child labor due to school dropouts, inability to afford basic medical treatment, lack of clean potable water and sanitation, lack of regular employment at living wages, and pervasive systemic helplessness.
- Social Exclusion: A structural condition and process wherein disadvantaged individuals and communities are denied access to rights, facilities, and opportunities enjoyed by mainstream society. In India, the traditional caste system serves as the historical vehicle for social exclusion, imposing economic penalties far beyond mere income shortages.
- Vulnerability: Measures the elevated probability of specific social categories or individuals (such as Scheduled Castes, Scheduled Tribes, rural landless laborers, widows, and persons with disabilities) falling into or remaining trapped in poverty. Governed by their access to productive assets, human capital, and susceptibility to external shocks like natural disasters and health emergencies.

### 2. The Poverty Line Architecture & Trends

- Operational Definition: The minimum threshold level of consumption expenditure required to secure basic human subsistence needs; varies across temporal and national standards.
- Indian Calorie Norms:
  - Rural Benchmark: 2,400 calories per person per day, reflecting heavier daily physical agricultural labor.
  - Urban Benchmark: 2,100 calories per person per day.
- Official Consumption Expenditure (Tendulkar Methodology, 2011-12):
  - Rural Line: 816 rupees per capita per month.
  - Urban Line: 1,000 rupees per capita per month. The urban spending line is higher despite lower calorie benchmarks due to significantly higher prices for urban essential goods and services.
- Data Collection: Statistically estimated at periodic five-year intervals by the National Sample Survey Organisation (NSSO) using consumer expenditure surveys.
- International Comparison Benchmark: The World Bank standard of 1.90 dollars per person per day at 2011 Purchasing Power Parity (PPP).
- Historical Trajectory (Tendulkar Methodology):
  - 1993-94: 45 percent total poverty ratio (50 percent rural, 32 percent urban), encompassing 404 million individuals.
  - 2004-05: 37 percent total poverty ratio (42 percent rural, 26 percent urban), encompassing 407 million individuals.
  - 2009-10: 30 percent total poverty ratio (34 percent rural, 21 percent urban), encompassing 355 million individuals.
  - 2011-12: 22 percent total poverty ratio (26 percent rural, 14 percent urban),

encompassing 270 million individuals.

- Analytical Takeaway: The headcount poverty ratio declined steadily from 1993 to 2005, but total absolute numbers remained stagnant near 405 million due to rapid population growth offsetting ratio reductions; substantial absolute declines occurred only post-2004-05.

### 3. Vulnerability Patterns & Inter-State Disparities

- Social and Occupational Vulnerability:
  - Scheduled Tribes exhibit the highest vulnerability, with roughly 43 percent living below the poverty line (against the 22 percent national benchmark).
  - Scheduled Castes follow with roughly 29 percent below the poverty line.
  - Rural agricultural wage-labor families and urban casual construction laborers (roughly 34 percent) face severe occupational vulnerability.
- Intra-Household Deprivation: Systemic intra-family inequality concentrates deprivation on women, elderly members, and female infants, who are systematically denied equal shares of household food and healthcare resources.
- Inter-State Disparity Drivers:
  - High-Poverty States: Bihar and Odisha remain the poorest states with persistent poverty ratios.
  - High Agricultural Growth: Punjab and Haryana reduced poverty through the Green Revolution's farm productivity surge.
  - Human Resource Investment: Kerala drastically reduced poverty via heavy public investments in universal literacy and primary healthcare.
  - Agrarian Land Reform: West Bengal achieved significant poverty reduction via structural land redistribution and sharecropper protections.
  - Public Food Distribution: Andhra Pradesh and Tamil Nadu leveraged effective, universal Public Distribution Systems for subsidized foodgrains.

### 4. Global Scenarios & UN Mandates

- Global Extreme Poverty: The global share of extreme poor (under 1.90 dollars a day) fell from 35 percent in 1990 to roughly 10.7 percent in 2013.
- Regional Divergence:
  - China & East Asia: Unprecedented drop; China reduced extreme poverty from 88.3 percent in 1981 to 1.9 percent in 2013 through state-led human capital investments and export industrialization.
  - South Asia: Significant percentage reductions, though population growth kept absolute numbers high.
  - Sub-Saharan Africa: Persistent structural poverty; the percentage hovered between 54 percent in 1990 and 41 percent in 2013, with absolute numbers rising.
- Global Goal: Sustainable Development Goal 1 (SDG 1) targets the complete eradication of extreme poverty across all dimensions by 2030.

### 5. Structural Causes of Indian Poverty

- Colonial Disarticulation: Century-long de-industrialisation under British rule dismantled traditional handicrafts and blocked domestic factory growth, creating an economic stagnation trap that persisted until the 1980s.
- Population Pressure vs. Income Lag: High demographic population growth combined with low aggregate GDP growth (the historical 3.5 percent per year growth rate) resulted in sluggish per capita income gains.
- Geographically Uneven Green Revolution: Modern farm productivity was concentrated in the northwest, failing to absorb nationwide agricultural surplus labor.
- Ineffective Land Redistribution: Poor administrative implementation of land ceiling acts left agrarian asset concentration intact in most provinces.
- Informal Rural Indebtedness: Extreme exposure to informal moneylenders charging

usurious rates for farm inputs trapped smallholders in chronic debt spirals.

### 6. Anti-Poverty Policy Architecture

- The Two-Pillar Policy: Promoting broad-based macroeconomic growth alongside executing targeted anti-poverty social safety net programs.
- Growth-Poverty Synergy: Growth acceleration from roughly 3.5 percent annually in the 1970s to around 6 percent in the 1980s and 1990s expanded fiscal revenues, financed social infrastructure, and motivated household schooling investments.
- Major Targeted Social Security Schemes:
  - Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005: Statutorily guarantees 100 days of wage employment per financial year to rural households, reserving one-third of jobs for women.
  - Prime Minister Rozgar Yojana (PMRY), 1993: Provides subsidized credit for self-employment to educated unemployed youth in rural and semi-urban localities.
  - Rural Employment Generation Programme (REGP), 1995: Targeted enterprise and job creation in small towns and villages through institutional bank linkages.
  - Swarnajayanti Gram Swarozgar Yojana (SGSY), 1999: Organizes rural poor families into Self-Help Groups (SHGs) supported by a mix of bank credit and state capital subsidies.
  - Pradhan Mantri Gramodaya Yojana (PMGY), 2000: Provides targeted central fiscal grants to states for core village infrastructure: primary education, basic health, rural shelter, potable drinking water, and rural electrification.
  - Antyodaya Anna Yojana (AAY): Targets the poorest of the poor with highly subsidized foodgrains.
- Implementation Bottlenecks: Administrative leakages, poor non-poor identification, overlapping mandates, and lack of real-time monitoring.
- The Concept of Human Poverty: Shifts focus from biological subsistence to human capabilities: universal education, dignity, gender equity, healthcare access, and emancipation from caste discrimination.

✍ Notes & Updates